



Employer Covenant Review 2021

Thames Water UPS (Closed Section)

1. Executive Summary

This report presents the Trustee's annual review of the employer covenant provided by Thames Water Utilities Limited. The covenant is assessed as tending to Strong on the Pensions Regulator's four-point scale (CG1-CG4). No material deterioration has been identified during the review period.

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Review Date	31/12/2021
Next Scheduled Review	31/12/2022
Independent Adviser	Penfida Partners

2. Sponsor Financial Review

Thames Water Utilities Limited reported turnover of GBP 1799m in its latest audited accounts, with profit before tax of GBP 83m and net assets of GBP 159m. Cashflow from operating activities remains robust and the sponsor holds a net cash position on the balance sheet.

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3. Affordability Assessment

Contributions to the scheme represent less than 8.6% of free cashflow, leaving substantial capacity to support the scheme. The sponsor has reaffirmed its commitment to the current recovery plan and to supporting a BPA transaction subject to pricing.

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4. Reliability of Covenant

The sponsor's core business is well diversified across end-markets and geographies. Contracted revenues provide good visibility over the next three years. The sponsor has a conservative dividend policy and no material acquisition programme in progress.

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5. Insolvency Risk

A Probability of Default analysis using the Trustee's standard model suggests a one-year default probability of c. 0.28% and a five-year default probability of c. 1.7%. These are consistent with the assessed covenant strength.

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6. Contingent Support

The scheme benefits from a parent company guarantee capped at GBP 15m (pre-2016 commitment) and a legal charge over specified assets. The Trustee reviews these arrangements annually.

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7. Covenant Monitoring

The Trustee meets the sponsor's finance team on a quarterly basis. Key monitoring metrics include net debt / EBITDA, interest cover, liquidity headroom, and pension contribution as a percentage of free cashflow.

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8. BPA Transaction Impact

A BPA transaction of GBP 239.7m would materially reduce the sponsor's exposure to the scheme. The Trustee has modelled a range of scenarios and concludes that the transaction would be covenant-accretive.

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9. Conclusion

The Trustee concludes that the employer covenant remains tending to Strong. No covenant-driven changes to the funding strategy are recommended. The Trustee supports progression of the BPA origination workstream.

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